Ways of Manipulation of Accounts

Manipulation of accounts may be made in the following ways:

- By showing more or less amount on fixed assets,
- By showing over valuation or under valuation of stock,
- Over or under valuation of liabilities,
- Creation of over or under provision for depreciation,
- Charging capital expenditure as revenue expenditure or vice versa,
- By making more or less provision for bad debts and for outstanding liabilities,
- By showing advance income or expenditure in the current year accounts.

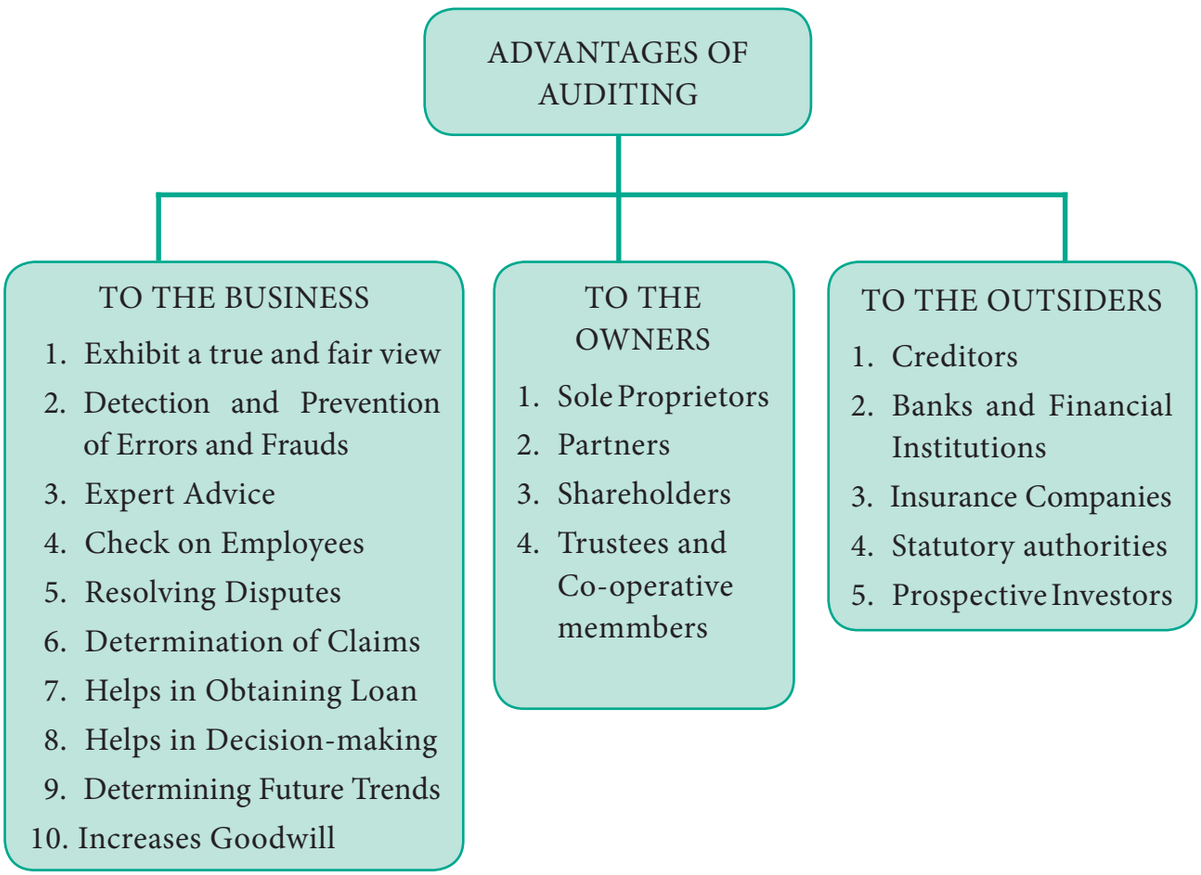
Objectives of Manipulation of Accounts

The objectives of Manipulation may be window dressing or creation of secret reserves.

- **Window Dressing**: In window dressing, accounts are manipulated in such a manner to reveal a much better and sound financial position of the business than what actually it is, in order to mislead the outsiders by inflating the profit.
- **Secret Reserves**: Accounts are prepared in such a manner that they disclose a worse financial position than the real. The real picture of the business is concealed and a distorted one is revealed.

1.10 Advantages of Auditing:

Auditing provides benefits to the business, owners and to the outsiders in the following ways:



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